

Pearson Edexcel International GCSE

Mark Scheme

Summer 2026 — Predicted Paper (Hard)

In Economics (4EC1)

Paper 2: Macroeconomics and the Global Economy

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Mark Scheme: Paper 2 — Macroeconomics and the Global Economy (4EC1/02) — Predicted (Hard)

1(a)	Question Which one of the following is a possible disadvantage of MNCs for a host country? Answer / Indicative Content AO1 1 mark The only correct answer is: C Moving profits back to the home country A is not correct because technology transfer is an advantage of MNCs. B is not correct because job creation is an advantage of MNCs. D is not correct because paying taxes is a benefit to the host government.	(1)
1(b)	Question Which one of the following is measured by the Human Development Index (HDI)? Answer / Indicative Content AO1 1 mark The only correct answer is: A GNI per capita, education and life expectancy B is not correct because these are macroeconomic indicators, not HDI components. C is not correct because these are balance of payments components. D is not correct because HDI does not include these as indicators.	(1)
1(c)	Question What is meant by the term balance of trade? Answer / Indicative Content AO1 2 marks Award up to 2 marks for a correct definition: The difference between the value of a country's exports and imports (1) of goods and services (1) OR Exports minus imports (1) over a given period of time (1) <i>Accept any other appropriate response</i>	(2)
1(d)	Question Describe one way an MNC can create jobs in a host country. Answer / Indicative Content	(2)

	AO1 2 marks Award 1 mark for identification and 1 mark for development. One way is by building a new factory or office in the host country (1) which directly employs local workers in production, administration and management (1) OR One way is through indirect employment in the supply chain (1) as local firms provide goods and services to the MNC, such as transport, catering and raw materials (1) <i>Accept any other appropriate response</i>	
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1(e)	Question Calculate Nigeria's nominal GDP per capita in US\$ in 2023. Answer / Indicative Content AO2 2 marks Award 1 mark for correct method (GDP / Population): US\$477bn ÷ 220m (1) Award 1 mark for the correct answer: = US\$2,168.18 (accept US\$2,168 or US\$2,170) Award 2 marks for any of these correct answers even without working. Award 1 mark if US\$ is missing (e.g. just 2,168). Do not award marks for the formula alone.	(2)
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1(f)	Question Draw the effects of removing the price ceiling on petrol. Answer / Indicative Content AO2 3 marks The ceiling was set below the equilibrium price, so removal returns the market to free-market equilibrium. Award 1 mark for removal of the horizontal price ceiling line OR showing a new higher equilibrium at the intersection of S and D. Award 1 mark for a higher new equilibrium price, labelled (e.g. P1 or Pe). Award 1 mark for a higher new equilibrium quantity (compared to the quantity supplied under the ceiling), labelled (e.g. Q1 or Qe).	(3)
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1(g)	Question Explain one economic cost of high youth unemployment for Nigeria. Answer / Indicative Content	(3)
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	AO2 3 marks Award 1 mark for identifying a relevant cost. Award 1 mark for development. Award 1 mark for context (Nigeria). One cost is lost output / reduced GDP (1). With 40% of 15–34 year olds unemployed, a significant proportion of Nigeria's potential labour force is not producing goods and services (1), meaning the economy operates below its production possibility frontier and loses billions in national output (1). <i>Accept any other appropriate response — e.g. higher welfare spending, lower tax revenue, social unrest, loss of human capital, increased brain drain.</i>	
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1(h)	Question Analyse the possible impact of FDI on the Nigerian economy. Indicative Content — AO2 (3 marks) / AO3 (3 marks) AO2 and AO3 — accept positive or negative impacts • FDI is when a foreign firm invests directly in productive assets in another country, such as building factories or acquiring firms. • US\$4.5bn of FDI brings capital inflows into Nigeria that can finance infrastructure and industrial development. • FDI creates direct and indirect jobs, which is critical given Nigeria's 33.3% unemployment rate. • Technology and knowledge transfer from foreign MNCs improves productivity and skills of Nigerian workers. • Higher employment and wages feed through to higher consumer spending, stimulating aggregate demand and growth. • FDI often leads to higher tax revenues for the Nigerian Government to fund public services. • However, profits may be repatriated to the home country, reducing long-term benefits to Nigeria. • Some FDI in oil and gas can cause environmental damage and overdependence on primary products.	(6)
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).

Level	Mark	Descriptor
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

2(a)	Question Which one of the following is an example of an indirect tax? Answer / Indicative Content AO1 1 mark The only correct answer is: C Value Added Tax (VAT) on goods A is not correct because corporation tax is a direct tax on profits. B is not correct because income tax is a direct tax on wages. D is not correct because inheritance tax is a direct tax on estates.	(1)
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2(b)	Question Which one of the following is the best description of frictional unemployment? Answer / Indicative Content AO1 1 mark The only correct answer is: B Unemployment between jobs while searching for a new role A is not correct because this describes cyclical unemployment. C is not correct because this describes structural unemployment. D is not correct because this describes seasonal unemployment.	(1)
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2(c)	Question State one cause of a government budget deficit. Answer / Indicative Content AO1 1 mark Award 1 mark for any one cause: • Higher government spending • Lower tax revenues (e.g. during a recession) • Cutting tax rates • Increased welfare payments during a downturn • Higher interest payments on national debt • Economic shocks (e.g. pandemic, financial crisis) <i>Accept any other appropriate response</i>	(1)
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2(d)	Question What is meant by the term regressive tax? Answer / Indicative Content AO1 2 marks Award up to 2 marks for a correct definition: A tax that takes a larger percentage from those on lower incomes (1) compared to those on higher incomes (1) OR	(2)
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	A tax where the tax rate falls (1) as income rises (1) <i>Accept reference to examples (VAT, excise duties) but not for the mark itself</i>	
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2(e)	Question Explain one way a VAT increase will affect UK consumers. Answer / Indicative Content AO2 3 marks Award 1 mark for identification of a way. Award 1 mark for development. Award 1 mark for context (UK / 2% VAT rise). One way is that higher VAT raises the prices of affected goods (1). Producers pass some of the 2% rise in VAT on to consumers (1), which reduces UK consumers' real income and purchasing power, particularly affecting low-income households (1). <i>Accept any other appropriate response.</i>	(3)
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2(f)	Question Label the remaining three stages of the economic cycle. Answer / Indicative Content AO2 3 marks Award 1 mark for Boom (top of first curve). Award 1 mark for Downturn (between Boom and Recession). Award 1 mark for Recovery (rising portion after Recession).	(3)
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2(g)	Question Assess the possible benefits for the UK of increasing excise duty on cigarettes. Indicative Content — AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) AO2 and AO3 — benefits - Excise duty is a specific tax on certain goods; increasing it raises the price of cigarettes. - Higher prices reduce demand for cigarettes, particularly from younger and price-sensitive smokers, reducing smoking rates below 13%. - Lower smoking rates reduce negative externalities of consumption — second-hand smoke, NHS treatment costs. - Cigarettes have price-inelastic demand in the short run, so the government can raise significant tax revenue from existing smokers. - Revenue can be used to fund healthcare (NHS), education or	(9)
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	anti-smoking campaigns. - Improved public health leads to lower absenteeism and higher productivity in the UK economy. AO4 — drawbacks / evaluation - Excise duty is a regressive tax — it takes a larger share of income from lower-income smokers, worsening inequality. - Higher prices may encourage black market / smuggled cigarettes, reducing government revenue and creating enforcement costs. - If demand is price-inelastic, few smokers will quit, so health benefits will be limited. - Tobacco farmers and shops lose revenue; related industries may see job losses. - Effectiveness depends on the price elasticity of demand — typically quite low in the short run but higher in the long run. - Overall judgement: the benefits are real but partly offset by the regressive nature and black-market risk; complementary measures such as anti-smoking campaigns may be more effective.	
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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	- Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). - Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). - Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	- Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). - Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	- Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Level	Mark	Descriptor
		Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

3(a)	Question Which one of the following is an example of a tariff? Answer / Indicative Content AO2 1 mark The only correct answer is: C A tax placed on goods as they enter a country A is not correct because this describes an embargo. B is not correct because this describes a quota. D is not correct because this describes an export subsidy.	(1)
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3(b)	Question Which one of the following is the most likely impact of the US dollar appreciation on US trade with China? Answer / Indicative Content AO2 1 mark The only correct answer is: C US exports become more expensive for Chinese buyers A is not correct because an appreciation makes US exports more expensive, not cheaper. B is not correct because an appreciation makes imports cheaper, not more expensive. D is not correct because China's trade surplus with the US is more likely to rise, not fall.	(1)
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3(c)	Question Draw the effects of a 25% tariff on Chinese steel imports into the US. Answer / Indicative Content AO2 3 marks A tariff raises costs for importers, shifting the supply curve to the left. Award 1 mark for a leftward shift of the supply curve, labelled S1 (tariff) or similar. Award 1 mark for a higher new equilibrium price, labelled (e.g. P1). Award 1 mark for a lower new equilibrium quantity, labelled (e.g. Q1).	(3)
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3(d)	Question Analyse the possible advantages of tariffs for domestic producers in the US. Indicative Content — AO2 (3 marks) / AO3 (3 marks) AO2 and AO3 • A tariff is a tax on imports, raising the domestic price of foreign goods and making US-made steel more competitive. • US steel producers can charge higher prices and/or sell more steel as consumers switch from now-expensive Chinese	(6)
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	imports. - Higher revenue and profits allow US producers to invest in new plants and technology. - Protection shields 'infant industries' and allows US firms to grow, achieve economies of scale, and compete internationally. - With \$370bn of imports facing tariffs, the scale of protection is significant and can secure long-term market share. - Increased production creates jobs in steel, aluminium and related supply chains — boosting local economies in steel-producing regions. - Tariffs may reduce US reliance on Chinese supply, improving national security in strategic industries.	
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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). - Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	- Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	- Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). - Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

3(e)	Question Assess the possible impact of a currency depreciation on an economy such as China's. Indicative Content — AO2 (3 marks) / AO3 (3 marks) / AO4 (3 marks) AO2 and AO3 — benefits of depreciation - A depreciation means the yuan loses value against other currencies (here, 8% against the US\$). - Chinese exports become cheaper in foreign markets, boosting demand for Chinese goods — helpful as China	(9)
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	exported \$3.6 trillion in 2023. • Rising exports contribute to higher GDP and economic growth, and support employment in export industries. • An improved trade balance can help fund development and increase foreign exchange reserves. • Tourism into China may rise as foreign visitors find China cheaper to visit. AO4 — drawbacks / evaluation • Imports become more expensive, including oil, commodities and high-tech components — this can cause imported/cost-push inflation. • Chinese firms reliant on imported inputs see higher costs, reducing profits and potentially employment. • Depreciation can trigger currency wars and retaliation from trading partners (e.g. further US tariffs). • The effect on the current account depends on the Marshall–Lerner condition — whether $PED_x + PED_m > 1$. • If the depreciation is seen as a deliberate policy, it may worsen trade tensions with the US and EU. • Overall judgement: short-term export gains are real, but long-term effects depend on elasticities, inflation consequences and trading-partner responses.	
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	0	• No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of

Level	Mark	Descriptor
		economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

4(a)	Question Calculate Turkey's real interest rate in 2024. Answer / Indicative Content AO2 2 marks Award 1 mark for correct method (Nominal rate – inflation rate): 45% – 67% (1) Award 1 mark for the correct answer: = –22% (1) Award 2 marks for the correct answer of –22% even without working. Award 1 mark if the % symbol or negative sign is missing. Do not award marks for the formula alone.	(2)
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4(b)	Question Analyse the relationship between interest rates and the exchange rate for a country such as Turkey. Indicative Content — AO2 (3 marks) / AO3 (3 marks) AO2 and AO3 • Interest rates are the cost of borrowing / return on saving; the exchange rate is the price of one currency in terms of another. • Higher interest rates increase the returns available to foreign investors who deposit money in Turkish banks. • This raises demand for the Turkish lira on foreign exchange markets (hot money flows). • Increased demand for lira causes the exchange rate to appreciate against other currencies. • A stronger lira makes Turkish imports cheaper, which helps to reduce imported/cost-push inflation — particularly important given 67% inflation. • Conversely, cutting interest rates reduces returns to investors, causing capital outflows and lira depreciation, which raises inflation. • With Turkey's high real rate (nominal 45%), foreign investors may still be cautious if they expect continued inflation to erode returns.	(6)
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).

Level	Mark	Descriptor
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

4(c)	Question Evaluate the effectiveness of using supply-side policies to control inflation in a country such as Turkey. Indicative Content — AO2 (4 marks) / AO3 (4 marks) / AO4 (4 marks) AO2 and AO3 — advantages • Supply-side policies are measures designed to increase the productive capacity of the economy (e.g. education and training, infrastructure, labour-market reform). • By increasing productive capacity, supply-side policies shift long-run aggregate supply to the right, putting downward pressure on prices. • Investment in education and training raises productivity of Turkish workers, enabling firms to produce more without raising prices. • Improved infrastructure reduces transport and logistics costs, lowering costs of production for Turkish firms. • Labour market reforms (e.g. reducing hiring restrictions) can lower unemployment and reduce wage-push inflation. • Unlike raising interest rates (which slows growth), supply-side policies support growth while controlling inflation — a better long-term solution for Turkey. • Can address cost-push inflation directly, which may be a root cause of Turkey's 67% inflation. AO4 — disadvantages / evaluation • Supply-side policies take many years to work — education reforms may take a decade to fully affect productivity — while Turkey faces inflation now. • They are often expensive (e.g. infrastructure investment), adding to government spending and possibly worsening the budget deficit. • Effectiveness depends on the type of inflation — if Turkey's inflation is mainly demand-pull or imported, supply-side	(12)
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	policies alone will not solve it. • Supply-side reforms (e.g. labour market flexibility) can be politically unpopular and face resistance. • With very high inflation (67%), immediate demand-side tools (monetary policy, fiscal tightening) are also needed. • Tax cuts, if used as a supply-side tool, may worsen Turkey's fiscal position in the short term. • Overall judgement: supply-side policies are an important long-term tool to control inflation sustainably, but Turkey needs a combination of supply-side and demand-side policies (especially tighter monetary policy) to tackle very high inflation in the short run. The effectiveness depends on the speed of implementation, funding, and the root causes of inflation.	
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Level	Mark	Descriptor
	0	• No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be

Level	Mark	Descriptor
		excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).